

over that time (once every three years). And over the past 75 years, there have been 11 drops in the S&P 500 of 20% or more.

When the usual occurs, my advice is always the same: Turn off the TV, follow your plan, and start flipping over couch cushions to find spare cash, because a wonderful buying opportunity is coming your way.

Let's get more specific as to the "Do's and Don'ts" of market crashes:

Do notice how cyclical markets are

Markets rise and fall with shocking regularity. They may not stick to schedules as tightly as the solar system does—think seasons, sunrise and sunsets, moon phases, even the appearance of comets—but they do move in semi-regular cycles. As do market corrections and crashes. Between 1950 and 2014, half of all annual periods saw a correction of 10% or more. Bull and bear markets come along on their own timelines, stay for as long as they like, then move on. There is not a whole lot you can do about it, except recognize that it happens.

Don't react emotionally

Do not give in to your gut, which might cause a momentary lapse in reason. Remember, the flight or fight response we discussed earlier—that knot in your stomach, sweaty palms, accelerated breathing, and increased heart rate—are signs of stress. The discomfort is a feature, not a bug. This agitation is supposed to crank up your body and make it ready to react to danger. It did a terrific job keeping your ancestors alive, but works against you in the capital markets. Adrenaline, it turns out, is not the basis of sound judgment or portfolio management.

Do stick with your plan

You made a long-term plan in the first place for money you do not need access to in the next year (or for years after), but rather, decades from now.